



Examination Report

Business Studies

6899

EGCSE

2025

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Paper 6897/01

General Comments

Examiners noted that the quality of the 2025 cohort's responses had slightly increased compared to the previous year. A significant number of candidates struggled to define the concepts such as close corporation in 2(a), gearing ratio in 3(a), and monetary policy in 4 (a).

Centres are urged to teach candidates precise definitions of concepts and remind them to always read questions thoroughly during examinations to avoid losing easy marks. Examiners agreed that learners still need to be guided in defining concepts.

Examiners further noted that a large number of candidates struggled to deal with double barreled evaluation questions 1(e) and 3(e), and computations in questions 4(c) compromised their ability to score high marks.

Examiners further noted that in parts (c), (d), and (e) marks were lost by candidates for restating points instead of explaining them, misunderstanding questions and key terminology, and not applying to the given business situations.

Several considerations might help enable candidates to achieve high marks:

- Learn precise definitions and appropriate analysis
- Read entire questions with understanding to take note of the stakeholders involved before a question is attempted.

Comments on specific questions

Question 1

Eswatini has seen an increase in trade union activity. The number of workers joining trade unions is now higher among public corporations than in the private sector businesses. Trade union leaders have observed that lack of trade union presence in the construction industry has allowed firms to form large-scale joint ventures which ignore worker's grievances. The ministry of labour has advised workers to avoid union activity in the secondary sector as it contributes greatly to the economy. Trade unionists think that the advice is wrong as trade union activity benefits both workers and employers.

(a) Define 'trade union'.

Candidates performed well in this question. Most candidates correctly defined a 'trade union ' as a voluntary workers' organization [k] which seeks to protect the rights and interests of its members in the workplace [k].'

However, some candidates referred to a trade union as 'an organization ' instead of a workers' organization. And some candidates did not explain how or where the workers' interests were protected by the trade unions.

(b) Identify two examples of public corporations in Eswatini.

The question was answered well by most candidates. Examples of public corporations are as follows

- Public service Pension Fund [app]
- Eswatini Railways [app]
- University of Eswatini [app]
- Eswatini Water Services Corporation [app]
- Eswatini Electricity Company[app]

However, some candidates missed points by confusing government departments, public schools and public health centres with public corporations.

(c) Explain two disadvantages that the construction firms could have by operating a joint venture.

This question was fairly answered as most candidates were able to state and explain the disadvantages of operating a joint venture. However, some candidates could not score full marks as they either failed to apply to the given case or had incorrect explanations.

Precise answers provided the following disadvantages.

- Objectives of the partnering construction firms may be unclear [k] thus conflicts may arise and delay completion of projects [app]
- The level of expertise and investment may not equally match [k] thus the firms may compete for power and ignore their joint objective [app]
- Participating construction firms may not share resources equally [k] leading to huge losses incurred by the overburdened firm [app]
- Lost business opportunities [k] as the contract might limit outside activities for both partners [app]

(d) Explain two contributions of the secondary sector to the economy of Eswatini.

Generally, candidates performed well in this question. However, some responses were vague as they referred to production in general, instead of identifying specific products, processes and activities from the secondary stage of production to clearly show how it contributes to the economy. This led to loss of marks.

Some of the best responses included the following:

- Increased economic growth [k] as it processes raw materials from primary sector [app] into high value finished goods [an]

- Increased employment opportunities [k] as factories [app] employ both skilled and unskilled workers [an]
- Higher value of exports [k] as domestic output of processed products rises [app] to reduce the balance of payments deficit [an]
- Increased tax revenue [k] as more factories and construction workers pay more income tax [app] thus government is able to improve service delivery [an]
- Abundant finished products [k] produced by secondary sector industries [app] that are sold locally to improve consumer satisfaction [an]

(e) Do you think that trade union activity benefits both workers and employers? Justify your answer.

Most candidates were confused by this question and lost marks. Candidates concentrated on either the employers or workers instead of contrasting the two in their responses. This limited the number of maximum marks that candidates could get to three.

Expected responses could include:

Positive points:

- Production time is saved [k] as trade union officials [app] negotiate on behalf of all workers while production continues [an]
- Improved welfare of workers [k] as trade unions provides social services to their members [app] which improves job satisfaction [an]
- Trade unions participate in conflict resolution [k] which maintains harmony between workers and management [app] to ensure projects are completed within the set time [an]

Negative points:

- Business failure may occur [k] as stronger trade unions [app] may force inexperienced employers to sign unaffordable collective agreements (that would drain them financially) [an]
- Loss of income [k] as employers could apply the no-work-no-pay rule [app] to punish workers for participating in an unprotected strike [an]
- Trade unions can cause loss of markets [k] by organizing all-out legal strikes [app] that would curtail output levels below the market requirements [an]
- Monthly subscriptions paid by members [k] reduce disposable incomes [app] which may lead to poor workers' standard of living and low workers' morale [an]

Question 2

Spotex is a new sports shop in Manzini that operates as a close corporation. The owners of the Spotex gained knowledge about such a business opportunity through conducting secondary research. Spotex aims to motivate its sales staff to increase its market share in the industry. Market competition is strong and Spotex has put some of its worker's on retrenchment. The workers have protested that this practice is unfair. The owners of Spotex think the business would perform better if they purchased a franchise from a well-established sportswear retailer.

(a) Define 'close corporation'.

The question was poorly answered. Most candidates showed some understanding of a close corporation, by stating one correct feature of a close corporation, which earned them half the marks. For candidates to have obtained full marks they should have defined a close corporation as 'an incorporated business [k] owned by family members not exceeding ten [k].

(b) State one advantage and one disadvantage of secondary research.

Generally, this question was well answered.

However, some candidates lost all the marks for stating an advantage and a disadvantage for primary research.

Advantages of secondary research

- Can be conducted quickly [app]
- Can be less costly [app]
- Very easy to access [app]
- Lots of available information [app]

Disadvantages of secondary research

- Can be inaccurate [app]
- Can contain expired data [app]
- Can be less relevant [app]

(c) Explain two ways in which Spotex can motivate its sales staff.

This question was well answered. Most candidates demonstrated strong understanding of the various ways that Spotex could use to motivate the sales staff. However, some candidates lost marks for their failure to apply to the given case.

Possible answers included:

- Offering attractive commission [k] thus encouraging the sales personnel to win more customers [app]
- Offering performance awards [k] to improve the curriculum vitae for the best sales agents [app]
- Use merit-based promotion methods [k] to encourage hard work among the sports gear retail agents [app]
- Publicized recognition for good performance [k] to empower high performers, Spotex could announce the sales assistant who has sold the highest number of sports equipment [app]

(d) Explain two reasons why Spotex would have retrenched some of its workers.

A substantial number of candidates answered this question well.

Expected responses included the following:

- Workers' continued ill-health [k] to prevent paying a worker for doing nothing thus saving undue labour costs [app] [an]
- Non-renewal of employment contracts [k] as the services of an idle employee may no longer be required [app+an]
- Low productivity by unskilled workers [k] as inefficiency [app] increases business expenses [an]
- Poor economic conditions [k] like low gross domestic product [app] may lead many businesses to suffer losses [an]
- Restructuring or changes in organizational structure [k] by merging two or more businesses [app] may require the new business to retrench some workers to avoid duplication or overlap of duties [an]

(e) Do you think Spotex would perform better if it operated as a franchise of a well-established sportswear retailer? Justify your answer.

Many candidates performed well in this question. A strong understanding of franchise businesses was demonstrated by candidates as they were able to discuss the two points (advantage and disadvantage of franchised outlets) and came up with reasoned evaluations on whether it would be better for Spotex to operate as a franchise or not. However, some candidates confused the roles of franchisee and the franchisor in their discussion and lost marks consequently.

Expected responses could include the following:

Positive points:

- Spotex as a Franchisor will avoid conflicts with employees **[k/app]** thus enjoy relative peace since it is the duty of the franchisee to handle the shop's operations **[an]**
- Spotex as franchisee would enjoy low advertising costs **[k/app]** as the franchisor would advertise for all outlets which would increase Spotex's profitability **[an]**
- Spotex as a Franchisor would earn royalties from franchisees **[app]** without participating in the daily running of the business **[an]**

Negative points:

- Business risk is high **[k]** as bad reputation of one franchise outlet **[app]** harms all other outlets in the same franchise **[an]**
- Innovation is restricted **[app]** as franchisees are not allowed to make operational decisions without the consent of the Franchisor **[an]**
- There are increased operational costs for the franchisee **[app]** as paying for the licence is costly **[an]**

Question 3

Starfield is a trucking company based in Matsapha. The business began operating two years ago. It has a high gearing ratio. Starfield has won many contracts to supply intermediaries in producer's distribution channels across the Southern Africa Development Community (SADC). Starfield's directors think that doing business is easier in countries with which Eswatini has trade agreements. Starfield is often affected by changes in fuel costs. The business calculates the price elasticity of demand before changing its price. The Chief Executive Officer of the company thinks that Starfield should improve efficiency by retraining its drivers in customer care and not by monitoring their trips with technology.

(a) Define 'gearing ratio'.

Most candidates performed poorly in this question. Some candidates were able to define gearing ratio as "the measure of business risk **[k]** using the percentage of long-term debts to capital employed" **[k]**. The rest of the candidates either left the question unanswered or gave completely wrong responses.

(b) State two examples of intermediaries in a typical distribution channel.

Many candidates performed well in this question and earned full marks. However, some candidates confused intermediaries as promotional methods and lost marks. While a small number of candidates provided the channels of distribution instead.

Possible answers included:

- Transport service providers **[app]**
- Retailers **[app]**
- Wholesalers **[app]**
- Agents **[app]**
- Runners **[app]**

(c) Explain two benefits to Eswatini of having trade agreements with its neighbouring states.

This question was generally well answered. However, it was common to find candidates who explained how businesses benefited from the trading agreements instead of the country. This oversight resulted in a loss of marks.

Precise answers provided the following benefits to the economy of Eswatini:

- Reduced trade barriers **[k]** thus allowing a free flow of goods and services to help Eswatini get what she cannot produce **[app]** to increase consumer choice **[an]**
- Increased market access **[k]** as domestic firms can sell to many countries **[app]** and generate more foreign currency for Eswatini **[an]**
- Increased export potential **[k]** as domestic firms will produce more goods so that the excess is sold abroad to reduce the balance of payments deficit for Eswatini **[app]**
- Increased cooperation among neighbouring states **[k]** as member states will become close friends **[app]** and assist one another politically **[an]**

(d) Explain two reasons why price elasticity of demand is important to Starfield.

This question was not easy for most candidates. The common mistake committed by candidates was to think price elasticity of demand as a measure of profit, level of demand or market share for a certain product. Yet price elasticity of demand is a measure of how sensitive consumers are to changes in price which helps management to choose suitable prices for different market segments, guides management to decide on the scale of production and prevent over investment, and guides management to channel resources to a product that has a high profit potential and prevent over trading. Some candidates left this question unanswered. So many candidates scored very low marks or zeros in this item.

Expected responses could include the following:

- Retained market share **[k]** as the firm can set realistic prices **[app]** thus maintaining loyal customer for the trucking services **[an]**
- Effective market segmentation **[k]** since price elasticity of demand provides information about sensitivity of customers to changes in price **[app]** which enables Starfield to use price discrimination profitably **[an]**

- Help management choose the best supplier **[k]** thus Starfield avoids sourcing spare parts from expensive suppliers **[app]** that would render it's services unaffordable to price sensitive customers **[an]**
- Help management determine level of output **[k]** to help Starfield provide trucking services according to demand **[app]** in relation to price **[an]**

(e) Do you think that it is better for Starfield to train its drivers on customer care than to monitor their trips with technology? Justify your answer.

This question was poorly answered by most candidates. Most responses were one sided which resulted to a loss of marks since they were marked out of a maximum of 3 marks.

Expected responses could include the following:

Positive points:

- Derived customer loyalty **[k]** as training on customer care would make drivers **[app]** treat customers as desired and win referrals from them **[an]**
- Improved security of the trucks **[k]** as tracking technology **[app]** can monitor trucks continuously against being stolen **[an]**

Negative points:

- Ineffective training **[k]** as drivers may have limited interaction with customers during the trips **[an]**
- Technology may be faulty **[k]** thus compromising the safety of vehicles and their cargo **[app]** **[an]**
- Technology may be costly **[k]** since the purchase price of new gadgets and set up costs are high **[app]** which might reduce profit **[an]**

Question 4

Suntex is a South African textile firm that has relocated to Eswatini. The firm was attracted to Eswatini by the country's stable monetary policy and access to international markets. Suntex is also satisfied with the role played by Government in protecting the worker's rights. Recent financial data has shown suntex's financial performance is improving. The firm is planning to expand to achieve economies of scale. Suntex wants to finance the expansion through a long-term loan of E60 million. The Central Bank has recently increased interest rates.

(a) Define 'monetary policy'.

The question was poorly answered by most candidates. Very few candidates were able to define monetary policy as 'tools used by government/ Central Bank [k] to manage money supply and interest rates for economic stability [k] ' and obtained the full two marks. Most candidates obtained half the marks for providing one aspect of the definition. While some candidates lost all marks by confusing monetary policy with fiscal policy.

(b) State two ways in which the government protects worker's rights.

The question was fairly answered by a significant number of candidates. However, some candidates confused workers' rights with consumers rights and human rights. Some candidates responses were not clear. For example, candidates would say "unfair dismissal" instead of saying "protection against unfair dismissal".

The strongest responses provided any two of the following product life cycle stages:

- Protecting workers against unfair dismissal [app]
- Enforcing labour laws[app]
- Regulating health and safety, [app]
- Regulating against unfair discrimination of workers, [app]
- Monitoring compliance with minimum wages, [app]

(c) Table 1 shows an extract of Suntex's financial data for the year ended 2024.

Table 1: Extract of Suntex's financial data

Financial items	Emalangenzi (millions)
Current assets	140
Profit	50
Current liabilities	80
Inventory (stock)	40
Total assets	200

A significant number of candidates performed poorly in this question. A common error among them was to add back the value of inventory to the value of current assets, when calculating the acid test ratio. And most candidates had a wrong amount for capital employed when calculating the return on capital employed. As a result, most candidates could not score more than two marks in this question.

Calculations:

Acid test ratio:= (current assets - inventory)/current liabilities **[k]**

$$= (140\text{m} - 40\text{m})/80\text{m} : 1$$

$$= 1.25 : 1. \text{ **[app]**}$$

Return on capital employed: = {profit /(total assets -current liabilities) } x 100 **[k]**

$$= \{ 50\text{m} / (200 \text{ m} - 80\text{m}) \} \times 100$$

$$= (50\text{m}/120\text{m}) \times 100$$

$$= 41.67\% \text{ **[app]**}$$

(d) Explain two ways in which Suntex could achieve economies of scale in its operations.

This question was well answered by a significant number of candidates.

However, some candidates did not apply to the case which led to a loss of the application marks.

Expected responses could include the following:

- Increased value of trade discounts **[k]** as Suntex buys fabric in bulk **[app]** thus lowering the average cost of production **[an]**
- Increased revenue **[k]** as Suntex develops unique brands of clothing **[app]** thus attracting more customers **[an]**
- Access to cheaper capital **[k]** as Suntex can use its assets as collateral **[app]** to negotiate for lower interest rates on the E60m loan **[an]**
- Increased efficiency **[k]** as Suntex can hire highly productive labour **[app]** thus spreading costs over a large number of textile products **[an]**

(e) Do you think Suntex should continue financing its expansion through long-term loans? Justify your answer.

A significant number of candidates mastered this question and scored high marks as they demonstrated understanding of advantages and disadvantages of long-term loans.

However, some candidates assumed the firm was unincorporated and had unlimited liability for its owners. This feature is not in line with a multinational corporation. These candidates lost two marks for this misconception.

Expected responses could include:

Valid positive points:

- It is safe for Suntex to acquire the loan **[k]** since the debt to capital ratio 41.67% **[app]** thus acceptable for a company with high collateral **[an]**
- Suntex has a high capability to service the loan **[k]** since the acid test ratio is greater than one **[app]** and the firm's position is reported to be improving **[an]**
- It is easy to plan for the loan repayments **[k]** since interest is fixed **[app]** thus profits can be estimated with certainty over the repayment period **[an]**
- The whole amount required is obtained **[k]** to purchase the necessary industrial sewing machines and hire skilled employees **[app]** which helps the firm to satisfy market requirements **[an]**

Negative points:

- Increased level of debt **[k]** thus the textile firm **[app]** can attract higher interest charges **[an]**
- The E60M loan is a large amount **[k]** thus it will overburden the firm with debts for an extended period of time **[an]**
- Collateral required maybe of high value **[k]** because the amount of the loan required is huge (E60M) **[app]** hence the business could lose a lot of assets if it failed to service the debt **[an]**

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General comments

The 2025 cohort showed significant similarity to the 2024 cohort, however, there were also fewer candidates receiving significantly low marks, with no one scoring 0 out of 80.

Most candidates effectively applied their knowledge to the case, with notable increases in high marks for question 4(b) involving financial calculations. Candidates displayed greater confidence in question 3(b), which required data interpretation, though many struggled with evaluating their results.

While most candidates adhered to command words, some found it challenging to elevate their answers to levels 2 and 3. Questions 1(b), 2(b), 3(a), and 4(b) proved particularly difficult, with many candidates unable to recall the relevant content, leading to low scores. In contrast, other part questions were well answered, with many candidates earning full marks.

Additionally, a significant number of candidates struggled with the nationalisation question and had difficulty structuring their responses to meet level 3 standards. Candidates are encouraged to present balanced essays discussing both the merits and demerits of a decision and to evaluate their judgments thoroughly.

Specific comments on individual questions.

**Question 1. The Registrar of Companies' Office approved all documents submitted by the founders
of the Public Limited Company.
(a) Explain two documents that Hopewell Hospital was required to submit during registration**

Comment

Overall, the responses were generally well done. However, some candidates incorrectly identified a partnership deed and a business licence as necessary documents for a public limited company to submit to the Registrar of Companies. These mistakes led to a significant loss of marks. Additionally, weaker responses failed to demonstrate the required skills. For instance, on each of the two points addressed, the answers lacked the necessary components: two knowledge marks, one application mark, and one analysis mark.

Possible responses:

- Memorandum of Association
- Articles of Association

Example of a correct response

Articles of Association **(1k)**. The company directors will submit this document to explain how they will manage the business's internal operations in accordance with the established rules **(1k)**. The office of the Registrar of Companies demands this document to ensure that the rights of shareholders are legally protected by the rules contained in it **(1an)**

Question 1. The hospital is registered as a Public Limited Company.

(b) Do you think operating the hospital as a Public Limited Company is beneficial to its shareholders? Justify your answer

Comment

Most candidates did well on this question. A common error was mistaking a public corporation for a public limited company. Some candidates also misunderstood shareholders as the hospital's patients, resulting in considerable marks being lost. Weak responses did not reach the level 2 stage, where analysis of facts is required. However, strong responses progressed to the evaluation level and provided two contrasting, reasoned judgements.

Possible answers

Advantages and disadvantages of operating the hospital as public limited company

Advantages	Disadvantages
More capital could be raised	A complicated process is followed in their formation
Shareholders enjoy limited liability	May be hard to manage due to the heavy compliance required
Continuity after the death of the founders	High risk of takeover
Access to cheaper loans	Less flexibility due to shareholder demands

Example

Public limited companies can be challenging to establish due to the numerous legal formalities involved (**L1**). The hospital's founders (**app**) may need to invest in legal assistance to register the business successfully (**L2**). However, once established, a public limited company can raise more capital through the stock exchange (**L1**). This additional funding can enable the healthcare facility (**app**) to acquire advanced medical supplies and equipment (**app**), ultimately improving the quality of services offered (**L2**).

I think operating the hospital as a public limited company could provide benefits to shareholders, as they enjoy limited liability. This means that they are protected from losing their personal assets if the company fails to meet its debts (**L3**). On the downside, public limited companies lack confidentiality since the law requires that their financial accounts be publicly published, which can compromise their reputation if they show a decrease in performance (**L3**).

Question 2. After a financial analysis, the Finance Manager discovered that the expansion could

lead to cash flow problems for the hospital in 2025.

(a) Explain two ways how Hopewell Hospital can overcome cash flow problems.

Comment

A substantial number of candidates performed poorly in this question. A common mistake was that candidates interpreted the question as referring to “causes of cash flow problems” instead of “ways of overcoming cash flow problems”. Weak responses did not sufficiently address the skills required in this question. The structure of the candidates’ responses did not meet the threshold of two knowledge marks, one application and one analysis to score maximum points required for each point raised.

Possible responses :

- Controlled rate of expansion
- Efficient control of inventory or stocking of medicine
- Improved debt collection policy
- Controlled acquisition of physical assets such as medical equipment
- Sale of shares
- Controlled expenditure

Example

Hopewell can effectively address its cash flow challenges by controlling the way it acquires medical equipment **(1k)**. If the hospital avoids purchasing expensive medical equipment **(app)** on a cash basis, the company can significantly reduce its cash outflows **(1k)**. This strategy could ensure that Hopewell maintains sufficient cash to fund its operations **(1an)**.

Q2 The planned expansion will require buying new technological equipment to benefit the hospital.

(b) Do you think buying new technological equipment will benefit Hopewell Hospital? Justify your answer.

Comment

This question garnered a moderate level of performance from candidates. A frequent mistake was the lack of familiarity with hospital-specific equipment. Many candidates incorrectly focused on office equipment like printers and photocopiers, rather than relevant medical devices such as scanners, x-ray machines, and other essential hospital technology. Weaker responses failed to meet the four levels of skills necessary for achieving maximum points in this question. In contrast, stronger responses presented the minimum required points and effectively moved through the stages of knowledge, application, analysis, and a well-contrasted evaluation.

Possible answer

Advantages and disadvantages of buying new technological equipment for the hospital

Advantages	Disadvantages
Provides accurate diagnoses of illnesses	Expensive to purchase
Speeds up medical tests and treatments	High maintenance costs
Operates continuously without interruption	Gets outdated quickly
Provides quality service or improved patient care	Breakdowns stop service delivery

Example

The introduction of new technological equipment at Hopewell Hospital has the potential to significantly enhance service delivery by accelerating medical tests and treatments **(L1)**. Consequently, patients **(app)** would experience shorter waiting times for services, resulting in higher customer satisfaction **(L2)**. However, advanced scanners and other sophisticated technologies **(app)** require high maintenance costs, which could increase operational expenses for the hospital **(L2)**.

I think that the initial investment in new technological equipment may not yield the desired benefits for the hospital. Frequent breakdowns and maintenance issues could disrupt service delivery, causing patients to lose confidence in the hospital's ability to provide reliable care **(L3)**. On the contrary, when advanced medical equipment **(app)** is properly maintained, it can operate continuously without interruptions, enabling patients to receive quality medical care around the clock **(L3)**.

Question 3 The Finance Manager has recommended to the CEO to prioritise profit instead of just

offering many services.

(a) Explain two reasons why profit is important to Hopewell Hospital.

Comment

The level of performance on this question was moderate. A frequent error among candidates was the inability to differentiate between accounting profit and cash flow. Consequently, some candidates mistakenly argued that profit could be used to cover short-term expenses, indicating a misunderstanding that cash shortages can arise even in profitable situations. Weaker responses fell short of meeting the necessary skill requirements to achieve maximum marks for this item. In contrast, stronger responses were well-structured and effectively addressed the required components of knowledge, application, and analysis.

Possible responses:

- Could be reinvested
- Acts as a measure of business performance
- Serves a reward to shareholders
- Could be used as a basis for convincing potential financiers

Example

Profits could be reinvested **(1k)**. Retained earnings could be reinvested into the medical institution **(app)** to fund its planned expansion **(1k)**. This source of finance can be more cost-effective for the business, as it does not incur interest, unlike funds sourced from an external supplier **(an)**.

Q3 Using information from Appendix 3.

(b) Calculate the current ratio for 2024 and 2025 respectively and evaluate the hospital's liquidity status before the intended expansion.

Comment

Many candidates performed well in this question, with the majority correctly calculating the current ratios. However, a significant number struggled with the evaluation component. This section required candidates to articulate reasoned judgments regarding whether the business should pursue its intended expansion based on the current ratio calculations. In weaker responses, some candidates either used incorrect formulas or confused the numerator with the denominator, resulting in inaccurate answers. It's crucial to not only perform calculations correctly but also to interpret and apply the results effectively in a real-world context, with reference to the case study.

Possible answer

Current ratio 2024	Current ratio 2025
$\text{Current ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$ $= \frac{240}{200}$ $= 1.2 \text{ or } 1.2:1$	$\text{Current ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$ $= \frac{120}{220}$ $= 0.55 \text{ or } 0.55:1$
(L1)	(L1)
(app)	(app)
(L2)	(L2)
Evaluation In 2024, the current ratio was 1.2:1, reflecting moderate liquidity. However, in 2025, the current ratio fell to 0.55:1, indicating poor liquidity (L3) . Given this decline, I recommend that the expansion should not be pursued at this time. The drop from a safer liquidity level of 1.2:1 to a concerning 0.55:1 suggests that the expansion poses significant financial risks. Thus, the expansion should be postponed until liquidity improves, ensuring that the hospital's financial stability is maintained. (L3)	

Q4 Hopewell Hospital wants to recruit additional doctors and nurses using external advertising.

(a) Explain two methods that Hopewell Hospital could use to advertise the vacancies.

Comment

This question posed challenges for many candidates. A notable number chose external advertising methods that are inappropriate for recruiting medical doctors and nurses. For example, some suggested placing advertisements on roadside billboards. Additionally, some candidates misunderstood the question, believing that it was about advertising the hospital's services rather than the specific job vacancies. It is essential to align advertising methods with the context of the recruitment process. Furthermore, weaker responses failed to meet the required skill threshold, which included knowledge **(x2)**, application, and analysis.

Possible responses :

- National newspapers/local newspapers
- Medical journals/ professional magazines
- Hospital's website
- Recruitment agencies
- Radio
- Television
- Social media pages

Example

Hopewell Hospital could improve its recruitment by advertising job vacancies on social media **(1k)**. Posting openings for nurses and doctors on Facebook **(app)** could reach more potential applicants, taking advantage of social media's broad audience **(1k)**. This would help the hospital recruit the best candidates for its vacancies **(an)**.

Q4 The Health Ministry has requested the hospital Board of Directors to allow Government to nationalise the hospital.

(b)Do you think nationalising the hospital will be beneficial for Eswatini? Justify your answer

Comment

This question presented challenges for many candidates. Examiners noted that a significant number of candidates confused the term "nationalising" with the idea of integrating a foreign industry into the domestic economy, rather than understanding it as converting a privately owned business into government ownership. Additionally, fewer candidates recognized that nationalisation is the reverse of privatisation. As a result, many responses did not directly address the question posed.

Possible response

Advantages and disadvantages of nationalisation

Advantages	Disadvantages
Provides job security for healthcare staff	Service delivery may be poor due to a lack of efficiency in operations.
Makes treatment more affordable by removing the focus on profit	May incur losses that burden taxpayers
Increases priority on the welfare of the poor	May lack innovation since profit-driven incentives are removed
Ensures universal access to healthcare/benefits for the whole society	Wastage of resources through mismanagement or overstaffing

Example

Nationalising the hospital will help preserve jobs for nurses and doctors (**L1**), as the government seldom lays off staff despite financial challenges (**L2**). However, this may lead to a decline in service quality and increased patient mortality in nationalised hospitals (**L2**).

Despite this, nationalising could provide affordable medical services since public institutions are not focused on profit (**L3**). However, the absence of profit incentives might stifle innovation in the nationalised hospital thus leading to poor quality service (**L3**).

RECOMMENDATIONS

Candidates should be reminded that success in this paper depends on the following hints:

- Part (a) is marked using points-based marking, which allows the marker to credit the candidate's response following the extent to which a candidate's response demonstrates sufficient skills in knowledge, application and analysis
- Part (b) is assessed using a level-based marking scheme that evaluates the candidate's ability to demonstrate higher-order thinking skills. This progression includes knowledge facts, application, analysis, and evaluation.
- A low-level response (L1) can earn a maximum of 3 marks for knowledge and 1 mark for application, totalling 4 marks. A Level 2 response (L2), which focuses primarily on analysis, can earn up to 6 marks plus 2 application marks, reaching a total of 8 marks. Meanwhile, an evaluated response (L3) can achieve up to 10 marks along with 2 application marks, resulting in a maximum total of 12 marks.,
- Candidates should reference the case study to ensure their answers are relevant, specifically using terminology, products, concepts, processes, outputs and issues related to a small-scale restaurant.

- Candidates should provide detailed explanations of their points, as listing them usually only earns Level 1 marks. Explaining a point can raise the answer to Level 2, resulting in more marks.
- Candidates should remember that part (b) requires a justified recommendation or conclusion. They should base their decision on a balanced argument presented earlier, justifying the chosen option without repeating points or the analysis. Additionally, they should compare options and explain why alternatives were rejected.

